



Time: 5 minutes

Outcome: Apply the textbook fractional-reserve deposit-creation process.

Difficulty: Intermediate

Deposit Creation and the Money Multiplier

THE CORE IDEA

In the simple textbook model, banks keep the required fraction of deposits as reserves and lend the rest. When loan proceeds are redeposited, another bank can lend part again. The repeated process creates deposits. The simple money multiplier $m = 1 / rr$ gives the theoretical maximum total deposit expansion per dollar of new reserves under full lending and redepositing.

HOW TO RECOGNIZE IT

- Required reserves = reserve ratio $\times$ deposits; excess reserves can support new lending.
- A lower reserve ratio produces a larger simple multiplier.
- Each lending round is smaller because a fraction is retained as reserves.
- Currency holding and excess reserves make actual expansion smaller than the maximum.

WATCH OUT

Do not confuse the multiplier with bank capital or claim that one bank lends the entire multiplied amount. The multiplier summarizes repeated system-wide rounds under restrictive assumptions.

WORKED EXAMPLE: A THEORETICAL MAXIMUM

Textbook deposit rounds: reserve ratio 10%

	New deposit	Reserves	New loan
First bank	\$1,000	\$100	\$900
Second bank	\$900	\$90	\$810
Third bank	\$810	\$81	\$729
All rounds total	\$10,000	\$1,000	\$9,000

With $rr = 10\%$, the simple multiplier is $1 / 0.10 = 10$. If \$1,000 of new reserves enters the banking system, maximum total deposits are \$10,000. Banks collectively retain \$1,000 as required reserves and can support up to \$9,000 of new loans. Cash holding or excess reserves lowers the result.

CHECK YOURSELF

If rr rises from 10% to 20%, what happens to the simple multiplier?